INTEL CORPORATION

NASDAQ: INTC | Semiconductors — Logic CPUs & Foundry | Large-Cap Turnaround

RATING	12-MO TARGET	DOWNSIDE	HORIZON
REDUCE	**$70**	**-37%**	**12 months**

Sector	Semiconductors	**Sub-sector**	Logic CPUs / Foundry
CMP (03-Jun-2026)	$111.18	**Market Cap**	$558.8B
52-wk High / Low	$132.75 / $18.97	**Enterprise Value**	$580.3B
P/E (TTM)	N/A — loss-making	**Forward P/E**	102.2x
P/B	4.87x	**EV / Sales (TTM)**	10.8x
EV / EBITDA (TTM)	40.9x	**Book Value / sh**	$22.18
ROE (TTM)	-2.9%	**ROCE (TTM)**	-2.8%
Net Debt	~$9.2B	**Debt / Equity**	0.36x
Dividend Yield	Nil (suspended 2024)	**Beta (5Y)**	2.23
Shares Out	5.03B (+9.5% YoY)	**200-Day MA**	$50.46
Institutional Own.	66.9%	**Next Earnings**	23-Jul-2026

INVESTMENT THESIS (one line)

Genuine 18A / Foundry turnaround in motion, but Intel is still loss-making and burning cash, and is priced for flawless execution at 102x forward earnings after a ~3x run off the 52-week low. We rate REDUCE.

***Report date:** 03 June 2026 | **Analyst:** Senior Semiconductor Analyst, Institutional Equity Research | **Coverage:** US Large-Cap Tech*
Financial data sourced from stockanalysis.com (income statement, balance sheet, cash flow, ratios, statistics) and transcribed exactly, fetched 03-Jun-2026. Live quote 03-Jun-2026 ~1:08pm EDT. Forward estimates (E) are the analyst's and are clearly labelled. This report is for educational purposes and is not investment advice.

2. INVESTMENT THESIS

- **Reason 1 — 18A is real and on-schedule:** Intel 18A (RibbonFET + backside power) entered high-volume manufacturing in Q1 2026 with yields running ahead of internal projections; Panther Lake (client) and Clearwater Forest (server) are now in volume at Fab 52, Arizona — the first credible US-based leading-edge node in years. This is the single most important proof point of the turnaround.
- **Reason 2 — DCAI + custom silicon re-accelerating:** Data Center & AI grew +22% YoY in Q1 2026 to $5.1B, ASIC run-rate has crossed $1B (+30% QoQ, ~doubled YoY), and multi-year (3–5yr) supply agreements were signed with Google and others — evidence Intel is winning a slice of the AI build-out, not just defending PCs.
- **Reason 3 — unprecedented external validation / backstop:** The US government holds a ~9.9% equity stake (433.3m shares at $20.47), NVIDIA invested $5.0B and SoftBank $2.0B — a strategic and political backstop that lowers tail-risk of a funding crisis during the capex-heavy ramp.
- **Near-term catalyst (6–12 months):** Binding external 14A customer commitments are guided for H2-2026 into H1-2027. A named anchor customer (beyond Microsoft's 18A Maia 3 order) would be the re-rating event that justifies the current foundry optionality in the price.
- **Biggest structural risk:** Intel Foundry is still sub-scale externally — only $174m of external foundry revenue in Q1 2026 vs TSMC's ~70% market share — and management has publicly said 14A cannot proceed without a major external customer. The $559B market cap discounts a foundry success that has not yet been secured.

3. BUSINESS OVERVIEW

- **What it does:** Intel designs and manufactures x86 CPUs and is building a contract chip-manufacturing (foundry) business. It is an IDM (integrated device manufacturer) — uniquely, it both designs chips and owns leading-edge fabs, unlike fabless peers (AMD, NVIDIA, Qualcomm) that outsource to TSMC.
- **Reporting segments (Q1 2026 revenue):** Client Computing Group (CCG) $7.7B (PC CPUs); Data Center & AI (DCAI) $5.1B (server CPUs, accelerators, ASICs); Intel Foundry $5.4B (mostly internal wafer manufacturing; only $174m external). AI-driven businesses are now ~60% of revenue and grew ~40% YoY.
- **Geography & customers:** Global, with manufacturing concentrated in the US (Arizona Fab 52 / Fab 34 Ireland) as part of a US-supply-chain mandate. Key relationships span PC OEMs (Dell, HP, Lenovo), hyperscalers (Google, Microsoft, Amazon) and, increasingly, foundry customers — Microsoft's Maia 3 accelerator is an announced 18A win.
- **Revenue visibility:** Improving — multi-year (3–5yr) LTAs in DCAI with volume/price terms, advanced-packaging backlog described as 'billions of dollars per year', but external foundry revenue conversion still lags backlog.
- **Strategic developments (last 12 months):** Lip-Bu Tan appointed CEO (18-Mar-2025); ~35,500 jobs cut in under two years (core headcount target ~75,000); majority stake in Altera sold (closed 12-Sep-2025, now equity-method); Intel Capital spin-off cancelled; dividend suspended (2024); joined the Terafab project (07-Apr-2026).
- **Ownership:** No promoter (US-listed); institutions own 66.9%, insiders 0.08%. The US government (~9.9%), NVIDIA and SoftBank are now strategic shareholders — a governance structure unusual for a US blue-chip.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size & growth:** Global semiconductor foundry market ~$162.7B (2025) → ~$180.1B (2026), forecast to ~$508.7B by 2035 (CAGR ~12.2%). AI/HPC is the demand engine — TSMC sees AI accelerator wafer demand up ~11x 2022–2026 and AI/HPC at ~55% of the chip market by 2030.

• **Policy tailwinds:** US CHIPS Act funding (converted partly into the government's equity stake), the Secure Enclave defense program and 're-shore leading-edge to the US' politics are uniquely favourable to Intel — it is the designated US national champion in advanced logic manufacturing.

• **Headwinds:** TSMC's scale advantage is enormous — ~70% foundry share and $52–56B 2026 capex vs Intel's ~$18–20B gross capex; Samsung ~7% share. Intel's external foundry share is ~0.5%. Catching the leader on cost-per-wafer and yield is a multi-year, capital-intensive fight.

• **Competitive moat — Scale: Weak (vs TSMC) / Moderate (x86):** Intel still dominates x86 server/PC CPUs but ARM and AMD are taking share; foundry scale is far behind TSMC.

• **Competitive moat — IP / Process: Moderate, improving:** 18A (RibbonFET + backside power) is leading-edge and yielding ahead of plan; 14A reportedly maturing faster than 18A — genuine technology re-set.

• **Competitive moat — Switching costs: Strong (x86 ecosystem) / Weak (foundry):** x86 software lock-in is sticky; foundry has no installed-base lock-in yet — customers must be won node-by-node.

• **Value-chain positioning:** Uniquely both an IDM product company AND an aspiring merchant foundry — a hybrid that could be a structural edge (US-based, full-stack) or a capital sink (two businesses competing for cash).

Company	CMP ($)	Mkt Cap	TTM Rev ($B)	ROCE (TTM)
Intel (INTC)	111.18	$558.8B	53.76	-2.8%
NVIDIA (NVDA)	215.81	$5.23T	253.49	92.6%
AMD (AMD)	533.13	$869.3B	37.45	6.4%
Qualcomm (QCOM)	249.41	$262.9B	44.49	25.1%
Texas Instr. (TXN)	309.26	$281.5B	18.44	20.7%

Source: stockanalysis.com, fetched 03-Jun-2026. ROCE = return on capital employed (TTM). Intel is the only loss-making name in the cohort.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Leadership:** Lip-Bu Tan (CEO since 18-Mar-2025; ex-Cadence CEO, veteran semiconductor investor) replaced Pat Gelsinger after the board lost patience with the prior turnaround pace. CFO David Zinsner provides financial discipline. The new team's mandate is explicitly cash preservation + foundry credibility, not growth-at-any-cost.
- **Capital allocation reset:** Gross 2025 capex cut by $2B to ~$18B; FY2026 opex target ~$16B (creeping up with demand); Altera majority stake sold; Intel Capital spin-off cancelled in favour of monetising holdings — a clear pivot from empire-building to focus.
- **Dividend policy:** Cut in 2023, fully suspended in 2024 to protect liquidity and fund fabs. No reinstatement guided. Income investors have no reason to own this — a structural change from Intel's decades as a dividend name.
- **Promoter pledging / FII / DII:** N/A (US-listed, no promoter concept). Institutional ownership 66.9%, insider 0.08%. New strategic holders: US government ~9.9%, NVIDIA ($5.0B), SoftBank ($2.0B).
- **Buybacks & dilution — a red flag:** Buybacks are negligible ($0.4B in FY2025) while shares OUTSTANDING rose +9.5% YoY from the government/NVIDIA/SoftBank issuances. Shareholders are being diluted, not rewarded — the equity raises were a balance-sheet rescue, not a vote of strength.
- **Governance watch-points:** A ~9.9% government stake plus a 5-year warrant for an extra 5% (triggered if Intel drops below 51% ownership of Foundry) injects political objectives into capital allocation. Heavy restructuring charges ($1.9B in Q2-2025) and a large FY2024 tax-driven write-down distort reported earnings.

6. FINANCIAL DEEP-DIVE

Income Statement

$ Billion (FY = Dec)	FY23	FY24	FY25	FY26E	FY27E
Revenue	54.2	53.1	52.9	57.5	62.0
Gross Profit	21.7	17.3	18.4	21.3	24.2
Gross Margin %	40.0%	32.7%	34.8%	37.0%	39.0%
EBITDA	9.7	-0.3	9.5	11.5	14.0
Operating Income (EBIT)	0.1	-11.7	-2.2	1.5	4.5
Operating Margin %	0.2%	-22.0%	-4.2%	2.6%	7.3%
Net Income (to Intel)	1.7	-18.8	-0.3	5.3	9.3
EPS ($, diluted)	0.40	-4.38	-0.06	1.05	1.80

Actuals (FY23–25) from stockanalysis.com, GAAP, fetched 03-Jun-2026. FY26E/27E are analyst estimates on an adjusted basis (street forward P/E of 102x implies ~$1.09 NTM EPS); GAAP earnings remain distorted by restructuring, impairments and Foundry ramp losses.

Balance Sheet

$ Billion (FY = Dec)	FY23	FY24	FY25	FY26E	FY27E
Total Cash + ST Inv.	25.0	22.1	37.4	34.0	33.0
Inventory	11.1	12.2	11.6	12.0	12.5
Net PP&E	96.6	107.9	105.4	108.0	112.0
Goodwill + Intangibles	32.2	28.4	26.7	26.0	25.5
Total Assets	191.6	196.5	211.4	216.0	224.0
Total Debt	49.3	50.0	46.6	45.0	44.0
Total Liabilities	81.6	91.5	85.1	84.0	84.0
Shareholders' Equity	105.6	99.3	114.3	120.0	128.0

Cash Flow

$ Billion (FY = Dec)	FY23	FY24	FY25	FY26E	FY27E

Cash from Operations	11.5	8.3	9.7	11.5	13.0
Capex (gross)	-25.8	-23.9	-14.6	-20.0	-19.0
Free Cash Flow	-14.3	-15.7	-4.9	-1.0	3.0
Dividends Paid	-3.1	-1.6	0.0	0.0	0.0
Buybacks	-0.5	-0.6	-0.4	0.0	0.0

Returns & Balance-Sheet Ratios

Returns / Ratios	FY23	FY24	FY25	FY26E	FY27E
ROE %	1.6%	-17.9%	0.0%	4.5%	7.5%
ROCE %	0.1%	-7.2%	-1.3%	2.0%	5.0%
ROIC %	0.1%	-12.0%	0.0%	2.5%	5.5%
Current Ratio	1.54	1.33	2.02	2.1	2.1
Debt / Equity	0.45	0.48	0.37	0.36	0.34

Quarterly Trend

Quarterly ($B)	Q1'25	Q2'25	Q3'25	Q4'25	Q1'26
Revenue	12.67	12.86	13.65	13.67	13.58
Gross Margin %	36.9%	27.5%	38.2%	36.1%	39.4%
Net Income (GAAP)	-0.82	-2.92	4.06*	-0.59	-3.73
EPS ($, diluted)	-0.19	-0.67	0.90*	-0.12	-0.73

**Q3'25 includes a large one-time gain (Altera deconsolidation); Q2'25 carried ~$1.9B restructuring charges; Q1'26 GAAP loss is distorted by impairment/tax — Q1'26 non-GAAP EPS was +$0.29. Source: stockanalysis.com quarterly, fetched 03-Jun-2026.*

Deep-dive commentary

- **Revenue:** Top line has roughly halved from the $79B 2021 peak to ~$53B, but appears to have bottomed — TTM +1.4% and Q1'26 +7% YoY. Growth is now mix-driven (DCAI +22%, ASICs doubling) rather than the declining PC base.
- **Margins:** Gross margin collapsed from 55% (2021) to ~33–35% as fab under-utilisation and the 18A ramp bit. It is recovering (39.4% in Q1'26) but management guided Q2'26 non-GAAP GM DOWN to ~39% as Panther Lake 18A volumes (6–7x QoQ) carry below-corporate margins — the ramp is a near-term margin headwind, not yet a tailwind.
- **Profitability:** GAAP operating income has been negative for two years (FY24 -$11.7B, FY25 -$2.2B); FY24 net loss of -$18.8B included a massive tax write-down. The business is at best at GAAP breakeven today.
- **Working capital / balance sheet:** Net debt is modest (~$9.2B, D/E 0.36) and liquidity is strong (current ratio 2.3, $37B cash) — bolstered by the 2025 equity injections. Solvency is not the issue; returns are.
- **FCF quality — the core problem:** Free cash flow has been NEGATIVE for four straight years (FY22 to FY25: -$9.4B, -$14.3B, -$15.7B, -$4.9B) as capex ran $20–26B against weak operating cash. FCF is improving (TTM -$3.1B) but the company has not self-funded in years — the entire bull case rests on capex monetising into future FCF.

7. EARNINGS QUALITY CHECKLIST

Parameter	Rating	Comment
Revenue recognition	GREEN	Standard product/foundry recognition; LTAs add visibility. No aggressive timing flags.
Receivables vs revenue	GREEN	Receivables ($3.8B) low and growing slower than revenue — clean.
Cash conversion (FCF)	RED	FCF negative 4 straight years; OCF well below historical norm vs $20B+ capex.
Reported vs underlying PAT	RED	GAAP repeatedly distorted by impairments, restructuring & a huge FY24 tax write-down.
Other income as % of PBT	AMBER	TTM pre-tax is negative; non-operating income ($3.8B FY25) is large relative to thin core profit.
Tax rate consistency	RED	Wildly erratic: FY24 +8.0B tax CHARGE on a pre-tax loss (valuation allowance); FY25 98% effective rate.
Share count / dilution	AMBER	Shares +9.5% YoY from government/NVIDIA/SoftBank issuance — real dilution.
Goodwill / impairment risk	AMBER	Goodwill $23.9B; Foundry assets carry impairment risk if 14A fails to land customers.

- **RED — cash conversion:** The most important signal. Four consecutive years of negative FCF means the reported 'recovery' has not reached the cash statement; the investment case is a bet on future, not current, cash generation.
- **RED — earnings distortion:** Headline GAAP losses overstate the operating problem (impairments/tax are non-cash), but the FY24 $8.0B tax charge on a loss and FY25's 98% effective rate make reported EPS nearly useless for valuation — use revenue, gross margin and FCF instead.
- **AMBER — dilution:** A +9.5% YoY rise in share count silently raises the bar for per-share value creation; the rescue equity was necessary but not free.
- **Net read:** Accounting is not fraudulent, but the quality of earnings is LOW — investors must underwrite the turnaround on operational/cash metrics, not on GAAP profit.

8. VALUATION

Peer Comparison (stockanalysis.com, fetched 03-Jun-2026)

Company	CMP ($)	Mkt Cap	TTM Rev ($B)	Fwd P/E	P/B	ROCE	OPM (TTM)
Intel (INTC)	111.18	$558.8B	53.76	102.2x	4.87	-2.8%	-9.4%
NVIDIA (NVDA)	215.81	$5.23T	253.49	22.4x	27.6	92.6%	64.0%
AMD (AMD)	533.13	$869.3B	37.45	59.9x	13.2	6.4%	11.7%
Qualcomm (QCOM)	249.41	$262.9B	44.49	24.7x	9.35	25.1%	25.5%
Texas Instr. (TXN)	309.26	$281.5B	18.44	37.4x	16.7	20.7%	35.3%

Intel trades at the HIGHEST forward P/E in the cohort (102x) while being the ONLY loss-making name (negative OPM, negative ROCE) — a valuation that prices a turnaround the financials have not yet delivered.

Scenario Analysis (12-month)

Scenario	Key Assumptions	Adj EPS (E)	Multiple	Target	Return
Bull	1–2 anchor 14A customers land; 18A scales profitably; DCAI/ASIC sustain 20%+; AI-PC cycle strong.	$2.20	55x	$122	+10%
Base	Products ship on 18A; modest profitability returns; external foundry stays sub-scale; no anchor 14A yet.	$1.80	39x	$70	-37%
Bear	18A economics disappoint; 14A fails to secure anchor; foundry cash-burn persists; reverts toward book.	~0	1.4x BV	$32	-71%

- **DCF:** Intel's near-zero current FCF makes a DCF almost entirely terminal-value-driven. At WACC ~11% (beta 2.23, equity-heavy capital base) and 3% terminal growth, with FCF only normalising toward ~$8–10B by 2030, implied equity value is ~$50–60/share — i.e. the cash flows do not support today's price.
- **Multiple-based:** Applying ~39x to FY27E adjusted EPS of ~$1.80 gives ~$70; cross-checked by EV/Sales compressing from today's extreme 10.8x toward ~5.5x on ~$60B sales (≈$64/share). Both sit well below CMP.
- **Blend → base-case 12-month target = $70** (average of the DCF ~$55 and multiple ~$70 anchors, with a premium for genuine foundry optionality). That implies ~37% DOWNSIDE from the $111.18 CMP over a 12-month horizon.
- **Why so far below market:** The gap between our $70 and the $111 price IS the foundry option value the market is capitalising. We do not think a not-yet-secured 14A anchor justifies paying it today.

9. KEY RISKS

- **Valuation / de-rating risk** — At 102x forward P/E and 10.8x EV/Sales after a ~3x run (price $111 vs 200-DMA $50), any execution wobble could compress the multiple hard. Probability: **H**. Impact: **H**. Monitor via: forward P/E vs delivered FCF, price vs 200-DMA.
- **Foundry external-customer failure** — Management has stated 14A cannot proceed without a major external customer; only $174m external foundry revenue today. No binding anchor = thesis breaks. Probability: **M**. Impact: **H**. Monitor via: named 14A commitments in H2-2026/H1-2027.
- **18A yield / economics** — 18A is yielding ahead of plan but is still margin-dilutive during ramp; cost-per-wafer must beat or match TSMC for the model to work. Probability: **M**. Impact: **H**. Monitor via: gross-margin trajectory through H2-2026.
- **Continued cash burn** — Four years of negative FCF; if OCF recovery stalls against $18–20B capex, leverage rises despite the 2025 equity raises. Probability: **M**. Impact: **M**. Monitor via: quarterly FCF, net debt.
- **Competitive share loss** — AMD and ARM continue taking x86 server/PC share; NVIDIA dominates AI compute. Probability: **M**. Impact: **M**. Monitor via: DCAI/CCG unit share, ASP trends.
- **Government-stake governance** — A ~9.9% US stake plus a 5% warrant tied to Foundry ownership can subordinate shareholder returns to industrial policy. Probability: **L–M**. Impact: **M**. Monitor via: capital-allocation decisions, Foundry ownership structure.
- **AI-PC / demand cyclicality** — Management itself guides PC unit TAM down low-double-digits for the year; a weak AI-PC refresh would undercut CCG, the largest profit segment. Probability: **M**. Impact: **M**. Monitor via: CCG revenue and operating margin.

10. RECOMMENDATION

- **Rating: REDUCE** — Conviction: **Medium**. The operational turnaround is real and improving, but the current price already capitalises a foundry success that has not been secured; risk/reward is skewed to the downside.
- **12-month price target: $70** (≈ -37% from the $111.18 CMP).
- **Suggested entry zone: $45–58** — at/just above the 200-DMA ($50) the risk/reward turns favourable for a turnaround position; we would become constructive there.
- **Investment horizon: 12 months** for the tactical call; the foundry thesis itself is a 2–3 year story.
- **Thesis invalidation triggers (would make this REDUCE wrong):**
- 1. A named, binding external 14A anchor customer (e.g. a hyperscaler) is announced — re-rates the foundry optionality from speculative to real.
- 2. Gross margin sustainably crosses ~45% AND FCF turns durably positive (2+ consecutive quarters).
- 3. DCAI/ASIC growth accelerates above 30% YoY with margin expansion, proving AI-compute relevance.
- **Ideal investor profile:** Suited to high-risk, long-horizon, event-driven investors comfortable with a binary foundry bet and zero dividend. NOT for income investors, GARP investors, or anyone needing GAAP-profitable, FCF-positive holdings at a reasonable multiple.

APPENDIX — Latest Concall Brief: Q1 FY2026 (reported 23-Apr-2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue, gross margin & EPS beat — 6th consecutive quarter above guidance.
Management tone	Bullish	'Different company'; 'demand outpacing supply' — confident, but selectively disclosed.
Guidance delta	Raised	Q2 revenue guide $13.8–14.8B (up 2–9% seq); GM guided slightly DOWN on 18A ramp.

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q1'26 was a clean beat on the headline — $13.6B revenue (+7% YoY), 41% non-GAAP gross margin and $0.29 non-GAAP EPS, the sixth straight quarter above guide — but the GAAP loss of -$0.73 (-$3.7B net) is the honest picture once impairment and tax are included, so do not be fooled by the non-GAAP line. The genuine operational positives are real: DCAI +22% YoY with the ASIC run-rate now past $1B and 3–5yr supply deals signed with Google, and 18A in high-volume manufacturing with yields ahead of plan (Panther Lake + Clearwater Forest shipping). The multi-bagger thesis hangs entirely on Foundry — and that is exactly where the call thinned out: external foundry revenue was only $174m against 'billions per year' of packaging backlog, and the Terafab and 14A-customer questions were answered with 'stay tuned' and 'multiple evaluations'. The single most important near-term catalyst is a NAMED, binding external 14A anchor customer (H2-26/H1-27); the single biggest watch-point is gross margin, which management guided DOWN to ~39% next quarter as 18A volumes ramp at below-corporate margins. Net: the operations are inflecting but the stock at $111 (102x forward, 10.8x sales, 200-DMA $50) already pays for the foundry win. Action: REDUCE / trim into strength; we would re-engage at $45–58, not here.

Concall 1 — Financial Performance Snapshot

- Revenue: $13.6B | YoY +7% | QoQ -0.7% | Beat
- Non-GAAP Gross Margin: 41% | above guidance | Beat
- Non-GAAP EPS: $0.29 | above guidance | Beat
- GAAP EPS: -$0.73 | GAAP net loss -$3.7B | Miss vs non-GAAP optics
- Operating Cash Flow: $1.1B in the quarter | still light vs capex.
- NOTE: Reported GAAP loss is distorted by impairment/tax items; clean underlying (non-GAAP) EPS = +$0.29.

Concall 2 — Segment / Geography Breakdown

- Client Computing (CCG): $7.7B | QoQ -6% (above expectations) | op profit $2.5B (33% margin); AI-PC >60% of client CPU mix.
- Data Center & AI (DCAI): $5.1B | YoY +22%, QoQ +7% | op profit $1.5B (31% margin); ASIC run-rate >$1B, +30% QoQ.
- Intel Foundry: $5.4B | QoQ +20% | operating LOSS -$2.4B (improved $72m QoQ); EXTERNAL foundry revenue only $174m.
- AI-driven businesses now ~60% of total revenue and grew ~40% YoY — the mix shift is the story.

Concall 3 — Management Commentary Themes

- CPU resurgence: 'CPU is reinserting itself as indispensable foundation' — Our read: positioning x86 as AI-inference infrastructure. Tag: GUIDANCE. Tone: Transparent.
- Demand > supply: 'shifted from survival mode to supply-scaling mode' — Our read: capacity-constrained is a good problem, but needs capex. Tag: EST. Tone: Transparent.
- 18A leadership: yields 'running ahead of internal projections' — Our read: the key proof point; credible. Tag: GUIDANCE. Tone: Hedged (yields 'closely guarded').
- 14A faster than 18A: 'maturity, yield, performance outpacing 18A at similar point' — Our read: encouraging but no committed customer. Tag: EST. Tone: Hedged.
- Terafab / broad partnerships: 'very broad relationship... stay tuned' — Our read: no substance disclosed. Tag: EVASIVE. Tone: Evasive.

Concall 4 — Operating & Business Metrics

- AI-PC mix: Q1'26 >60% of client CPU mix | grew 8% QoQ | Trend: improving.
- ASIC run-rate: now >$1B | +30% QoQ | ~doubled YoY | Trend: improving.
- Server CPU units: double-digit unit growth expected through 2027 | Trend: improving.
- Foundry external revenue: $174m | vs 'billions/yr' backlog | Trend: stable/low — conversion lagging.
- 18A products: Panther Lake + Clearwater Forest in volume (fastest 5-year ramp) | Trend: improving.

Concall 5 — Margin Drivers

- 18A ramp (Panther Lake volumes 6–7x QoQ): -ve bps | Recurring: No (ramp phase) | Below corporate-average margin near-term.
- Substrate & memory cost inflation: -ve bps | Recurring: partly | Management flagged as a Q2 headwind.
- Modest pricing benefit: +ve bps | Recurring: Yes | Partially offsets ramp/cost drag.
- Mix (DCAI/ASIC growth): +ve over time | Recurring: Yes | But Q2 GM still guided DOWN to ~39% — ramp dominates near-term.

Concall 6 — Guidance & Forward Signals

- Q2'26 Revenue [GUIDANCE]: New = $13.8–14.8B (up 2–9% seq) | Delta = raised | Credibility: High.
- Q2'26 Non-GAAP GM [GUIDANCE]: New = ~39% | Delta = cut vs Q1's 41% | Credibility: High (ramp drag).
- Q2'26 Non-GAAP EPS [GUIDANCE]: New = $0.20 (GAAP $0.08) | Delta = maintained | Credibility: Medium.
- FY2026 Capex [GUIDANCE]: gross ~$5B/quarter, flat to 2025; tool spend +25% | Credibility: Medium.
- FY2026 OpEx [GUIDANCE]: now creeping ABOVE prior $16B target | Delta = up | Credibility: Medium.

Concall 7 — Capital Allocation

- Capex: ~$18–20B gross FY26 (cut $2B in 2025) | Disciplined vs prior plans.
- Dividends: $0 — suspended since 2024 | No reinstatement guided.
- Buybacks: negligible ($0.4B FY25) | offset by +9.5% YoY dilution from strategic equity issuance.
- Fab 34 (Ireland): $7.7B cash + $6.5B debt buyout of partner stake referenced | adds ~$250m/qtr NCI drag.
- Net debt: ~$9.2B | manageable; liquidity strong post equity raises.

Concall 8 — Q&A; Heat Map

- Ben Reitzes (Melius): Q: how are Google/LTAs structured? → A: volume+price, 3–5yr terms | Tone: Transparent.
- Ross Seymore (Deutsche Bank): Q: demand vs differentiation? → A: 'XPU' bundle, CPU:GPU ratio 1:8→1:4 | Tone: Hedged.
- Stacy Rasgon (Bernstein): Q: why flat/down margins despite growth? → A: 18A volumes 6–7x, substrate/memory costs | Tone: Transparent.
- Timothy Arcuri (UBS): Q: is Terafab foundry or licensing? → A: 'very broad... stay tuned' | Tone: Evasive.
- Vivek Arya (BofA): Q: quantify server TAM growth? → A: 'up meaningfully... leave it to analysts' | Tone: Evasive.
- C.J. Muse (Cantor): Q: advanced-packaging revenue/customer count? → A: 'billions/yr... big part of foundry' | Tone: Vague.
- Dodged / watch-list for next quarter: external 14A customer names; advanced-packaging revenue target; Terafab economics.

Concall 9 — Risks Flagged

- 18A ramp margin drag: near-term GM headwind | Flagged by: mgmt | Probability: H | Impact: M | Timeline: near-term.
- Substrate/memory cost inflation | Flagged by: mgmt | Probability: M | Impact: M | Timeline: near-term.
- External foundry conversion lag ($174m vs backlog) | Flagged by: analysts | Probability: M | Impact: H | Timeline: medium.
- PC TAM down low-double-digits FY | Flagged by: mgmt | Probability: M | Impact: M | Timeline: near-term.
- 14A customer commitment timing (H2-26/H1-27) | Flagged by: analysts | Probability: M | Impact: H | Timeline: medium.

Concall 10 — Analyst Verdict

- Revenue visibility: **Intact** — multi-year DCAI LTAs + demand>supply; PC remains cyclical.
- Margin trajectory: **Weakened (near-term)** — Q2 GM guided down on 18A ramp; structural recovery still unproven.
- Capital allocation quality: **Weakened** — disciplined opex, but dividend gone, dilution up, FCF still negative.
- Competitive moat: **Intact (x86) / Cannot assess (foundry)** — foundry moat depends on unproven external wins.
- Management credibility: **Intact** — 6 straight beats; but evasive on Terafab/14A specifics.
- Valuation comfort: **Broken** — 102x forward P/E, 10.8x EV/Sales on a loss-making, FCF-negative business.
- Conviction call: **Decreased** — operations improving, but valuation has outrun fundamentals; REDUCE.
- Valuation snapshot: Fwd P/E = 102x | EV/Sales = 10.8x | EV/EBITDA = 40.9x | ROCE = -2.8% | FCF (TTM) = -$3.1B.